

Conversely, the traditional strategy would have executed trades for both the call and put options, leading to a lower overall profit of 1215.

### Traditional strategy

☒ **B** NIFTY 24 Apr 2017 xxxxx CE      79.1      1215      0      1215     

  

This example showcases the efficiency and improved performance of the momentum-based approach.

## EVALUATING RESULTS: A SHIFT TOWARDS PROFITABILITY

To assess the efficacy of the momentum strategy, we analyze its performance over the past 6 years. The results are promising, with the strategy generating approximately ₹3.5 lakhs on a single lot, averaging around ₹58,000 per year. However, it is important to consider potential costs such as brokerage fees and government taxes.



Backtested results

